10. Small payments are recorded in a book called

(a) Cash book (b) Purchase book

(c) Bills payable book (d) Petty cash book

Answer

1. (d)	2. (c)	3. (d)	4. (c)	5. (d)	6. (b)	7. (a)	8. (c)	9. (a)	10. (d)

II Very short answer questions

1. What is cash book?
2. What are the different types of cash book?
3. What is simple cash book?
4. Give the format of 'Single column cash book'.
5. What is double column cash book?
6. Give the format of 'Double column cash book'.
7. What is three column cash book?
8. What is cash discount?
9. What is trade discount?
10. What is a petty cash book?

III Short answer questions

1. Explain the meaning of imprest system of petty cash book.
2. Bring out the differences between cash discount and trade discount.
3. Write the advantages of maintaining petty cash book.
4. Write a brief note on accounting treatment of discount in cash book.
5. Brifly explain about contra entry with examples.

IV Exercises

Single Column Cash Book

1. Enter the following transactions in a single column cash book of Seshadri for May, 2017.

May		₹
1	Cash in hand	40,000
5	Cash received from Swathi	4,000
7	Paid wages in cash	2,000
10	Purchased goods from Sasikala for cash	6,000
15	Sold goods for cash	9,000
18	Purchased computer	15,000
22	Cash paid to Sabapathi	5,000
28	paid salary	2,500
30	Interest received	500

(**Answer**: Cash Balance ₹ 23,000)

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